

NextEra Energy, Inc.

NEE NYSE

Buy	\$87.01 ▼ 0.28%	12M Price Target \$102.00	52-Week Range \$67.20 – \$98.75	Market Cap \$181.47B
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NEE: Reiterate Buy on Data Center Tailwind, Dominion Optionality

WHAT'S CHANGED

- Insider Monkey (5/28) flags NEE positioning around Dominion Energy acquisition framework targeting data center load growth — reinforces hyperscaler PPA thesis as core narrative driver.
- Tape weakened into 5/29 with 25.3M shares (~2x prior 5-day avg) on a -0.28% close at \$87.01, suggesting institutional distribution into Utilities sector underperformance (-1.29% 5D) despite favorable AI power narrative.

IMPLICATIONS

The Dominion acquisition chatter materially elevates NEE's strategic optionality — combining FPL's regulated rate base with Dominion's PJM/Virginia data center footprint would create the dominant US power platform serving hyperscaler load, the highest-growth electricity end market. However, the divergence between Tech (+6.95% 5D) and Utilities (-1.29% 5D) signals capital is favoring direct AI beneficiaries over second-derivative power plays, capping near-term multiple expansion. The 25M share volume print on 5/29 against muted price action suggests systematic rebalancing rather than fundamental selling, and NEE remains the cleanest large-cap vehicle for the power-demand-from-AI thesis.

VALUATION

PT of \$102 derives from ~25x FY2027E EPS of \$4.10, a justified premium to regulated utility peers (~18x) given NEER's renewables development pipeline and embedded data center PPA optionality. EV/EBITDA of ~13.8x FY26E sits above the utility median of ~11x but is supported by 8-10% rate base CAGR at FPL plus ~30GW backlog at Energy Resources. Multiple expansion catalyst: Dominion deal accretion clarity; contraction risk: long-end rate backup above 5.0% or ITC/PTC policy reversal.

KEY RISKS

- Long-duration rate sensitivity — 10Y yields above 4.75% historically compress NEE multiple by 1.5-2 turns
- Dominion acquisition execution risk: regulatory approvals across multiple states plus financing dilution
- IRA/ITC tailwind reversal under shifting policy stance threatens NEER project economics

RECENT NEWS

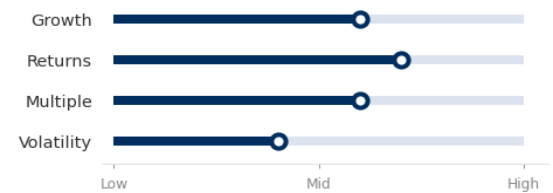
Wedbush's Dan Ives: AI Revolution Is Only in Third Inning. Here's Why Nvidia and U.S. Chip... 24/7 Wall St. · 2026-05-29 12:26

NextEra Energy, Inc. (NEE) Sets Sights on Growing Data Center Opportunity on Dominion Ener... Insider Monkey · 2026-05-28 23:48

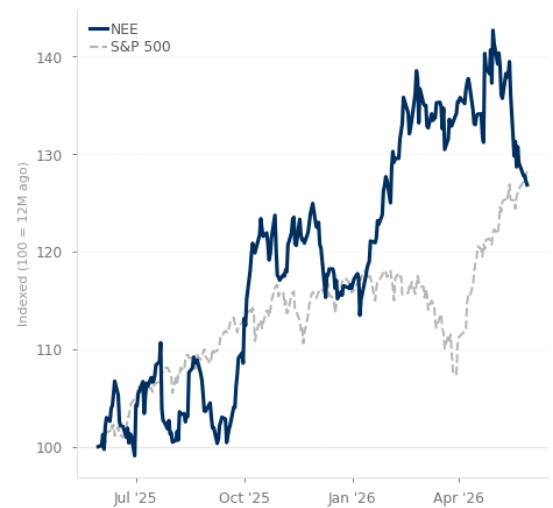
Key Data

Price (USD)	\$87.01
12M Price Target	\$102.00
Upside / (Downside)	+17.2%
Market Cap	\$181.47B
FY2026E Revenue	\$27,800M
FY2027E Revenue	\$30,100M
FY2026E EPS	\$3.75
FY2027E EPS	\$4.10
Fwd P/E	23.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$92.00	\$88.00	\$82.00
6 Months	\$98.00	\$92.00	\$78.00
1 Year	\$110.00	\$102.00	\$74.00
2 Years	\$130.00	\$115.00	\$70.00
5 Years	\$175.00	\$145.00	\$65.00
10 Years	\$250.00	\$190.00	\$60.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology, Financials

COLD SECTORS: Utilities, Comm. Services

ROTATION WATCH: Risk-on rotation into Tech (+6.95% 5D) is draining capital from defensives; expect Utilities to lag until rates stabilize or a recession scare reignites bid for regulated cashflows.

BYPRODUCT PLAY: AI capex super-cycle creates derivative demand for grid infrastructure, transmission build-out, and natural gas peakers — NEE captures via NEER development pipeline and FPL Florida data center corridor exposure.

OUTPERFORMERS & PEER CONTEXT

- NVDA (Nvidia): Anchor of Tech ETF +6.95% 5D leadership; Ives' "third inning" framing keeps AI capex spend expectations elevated through 2027.
- VST (Vistra): Independent power producer remains the purest AI-power beneficiary with merchant pricing leverage NEE lacks under regulated/contracted structure.

NEE CONTEXT: NEE is lagging both the Tech AI complex and merchant power peers, trading at 63% of 52-week range while Utilities ETF underperforms broader market — relative weakness reflects NEE being viewed as a slower, regulated proxy on the AI-power theme rather than a pure-play.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$82-85 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: FPL ROE compression, renewables PPA pricing rollover, or failed Dominion synergy execution

Hedging: Pair short XLU or D (Dominion) to isolate NEE alpha